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POLICY NUMBER: **FP-FIN-007**

# LEASE ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton") accounting for both lessor and lessee arrangements in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

## POLICY STATEMENT

Hilton engages in various leasing arrangements, acting as either the lessee or the lessor, as part of its operations (e.g., ground leases, hotel leases, corporate office or related facility leases, equipment leases, subleases for restaurants or shops). Lessees classify leases as either operating or finance with each classification having its own unique accounting implications. Lessors classify all leases as either sales-type, direct financing, or operating leases with each having different accounting implications. This policy serves to provide the relevant accounting guidance to determine the classification of Hilton's lease arrangements and the proper accounting treatment.

## SCOPE

The scope of this policy extends to all leases entered into, including equipment leases at our hotel properties. Leases entered into at properties where Hilton's involvement with the property itself is accounted for as a service arrangement (e.g., managed hotels) should be recorded on the hotel's books, and not Hilton's consolidated books, regardless of the legal party that entered into the contract. ***This policy is written from Hilton's perspective and references Hilton throughout. In applying this policy at the hotel level, references to Hilton should be interpreted as being from the hotel owner's perspective.***

A lease is defined as a contract or an arrangement or part of a contract or arrangement that conveys the right to control the use of identified property, plant, or equipment for a period of time in exchange for consideration. A period of time may be described in terms of the amount of use of an identified asset.<sup>1</sup> Under a lease, the party obtaining the right to use the leased asset is referred to as the lessee and the party conveying the right to use the asset is referred to as the lessor.

An arrangement is or contains a lease if both of the following criteria are met:

- The arrangement conveys the right to obtain substantially all the economic benefits from use of the identified asset.
- The arrangement conveys the right to direct the use of the identified asset.<sup>2</sup>

The evaluation of whether an arrangement contains a lease is based on all relevant facts and circumstances<sup>3</sup> and is made at the inception of the arrangement.<sup>4</sup> Re-evaluation of whether an arrangement contains a lease is required only if the terms and conditions of the arrangement are changed.<sup>5</sup>

In some lease arrangements the landlord will also provide substantial services or 'nonlease components' in connection with the operation or maintenance of the leased asset(s). Nonlease components represent the transfer of other goods or services to Hilton separate from the underlying property, plant, or equipment. Examples include utilities supplied by the landlord, common area maintenance, or building security.

Note: Some arrangements contain costs that do not represent a component of the contract as they do not transfer a good or service to Hilton. Examples of non-components include administrative tasks to set-up the contract or initiate the lease, reimbursement or payment of insurance or real estate taxes paid to or on behalf of the landlord.<sup>6</sup> Refer to the **Separating Lease and Nonlease Components** subsection below for additional details including how the consideration in the contract should be allocated.

### Lease vs. Service Arrangement

Hilton operates a large number of hotels under Management Agreements ("MAs") and lease agreements that specifically provide for the management of explicitly or implicitly identified real property (i.e., the hotel) and provide Hilton substantial decision-making authority regarding the day-to-day operations while potentially obtaining substantially all of the economic benefits of the property. As a result, Hilton must consider whether to account for these arrangements as a lease or as a service arrangement regardless of legal form.

In determining whether an arrangement should be accounted for as a lease or a service arrangement, Hilton's analysis primarily focuses on the right to direct the use of the identified asset versus whether Hilton has obtained substantially all of the economic benefit. Regardless of the legal form of the arrangement, Hilton generally obtains substantially all of the economic benefits from the use of a hotel when it has the continuous ability to operate the hotel and generate hotel cash flows irrespective to the hotel

<sup>1</sup> ASC 842-10-15-3, Leases, Overall, Scope and Scope Exceptions

<sup>2</sup> ASC 842-10-15-4, Leases, Overall, Scope and Scope Exceptions

<sup>3</sup> ASC 842-10-15-7, Leases, Overall, Scope and Scope Exceptions

<sup>4</sup> ASC 842-10-15-2, Leases, Overall, Scope and Scope Exceptions

<sup>5</sup> ASC 842-10-15-6, Leases, Overall, Scope and Scope Exceptions

<sup>6</sup> ASC 842-10-15-30, Leases, overall, Scope and Scope Exceptions

owner's share of hotel cash flows (e.g., rent paid in a lease structure or residual profit after management fees in a management agreement structure).<sup>7</sup>

The right to direct the use of the identified asset is conveyed if either of the following conditions are met:

- Hilton has the right to direct how and for what purpose the asset is used throughout the period of use.
- The relevant decisions about how and for what purpose the asset is used are predetermined and at least one of the following conditions exists:
  - i. Hilton has the right to operate the asset or direct others to operate the asset in a manner that it determines throughout the period of use without the owner having the right to change those operating instructions.
  - ii. Hilton designed the asset or specific aspects of the asset in a way that predetermines how and for what purpose the asset will be used throughout the period of use.<sup>8</sup>

In assessing these criteria for hotel operating arrangements (i.e., MAs and hotel leases), Hilton's analysis primarily focuses on the following terms:

- Approval rights over operating budgets and key personnel (e.g., General Manager or Finance Director).
- Owner termination rights (e.g., at-will or for performance) and liquidated damages required to be paid upon termination, if excessive.

The above evaluation will be contemplated by the Technical Accounting ("TA") team as part of the consultation request for new or amended leases and/or MAs. Refer to the **Authorization** section below.

## APPLICABILITY

This policy applies to all Finance personnel, as well as to all team members (Corporate & Hotel) that have the ability to enter into lease arrangements.

## EXCLUSIONS/ EXCEPTIONS

None.

## AUTHORIZATIONS

### Required Consultation with TA

TA must be notified of the following in order to determine the appropriate accounting:

1. All new hotel leases or amendments, extensions, or renewals of existing leases.
2. All new non-hotel leases (e.g., ground leases or corporate offices) or amendments, extensions, or renewals of existing leases when the estimated commitment over the new or remaining lease term is in excess of \$5 million. The total commitment includes all amounts contractually due to the lessor over the life of the lease, including but not limited to lease payments (see **Initial Recognition and Measurement** section below) and/or payments to fund construction of leasehold improvements. The total commitment also includes estimated amounts to remove leasehold improvements if required per the terms of the lease (refer to **FP-FIN-025—Asset Retirement Obligation Accounting Policy**).
3. All payments received from or passed to the landlord in excess of \$1 million (e.g., lease termination payment or tenant improvement allowance).
4. Exit (termination) from a leased hotel.
5. Business combinations where we assume in place leases.
6. Subleases at owned or leased hotels or corporate facilities with estimated commitments over \$5 million.
7. Sales of owned real estate which are subsequently leased back from the buyer.
8. Build to suit lease arrangements.
9. All refundable lease deposits in excess of \$5 million that bear interest at a rate other than a market-based rate.
10. All loans provided to the lessor in excess of \$5 million that bear interest at a rate other than a market-based rate.

<sup>7</sup> ASC 842-10-15-19, Leases, Overall, Scope and Scope Exceptions

<sup>8</sup> ASC 842-10-15-20, Leases, Overall, Scope and Scope Exceptions

11. Lessor arrangements that meet the criteria to be accounted for as either a sales-type lease or direct financing lease.
12. Requests to apply a portfolio approach to account for a large number of leases.
13. Requests to use a pattern other than straight-line to relieve a right-of-use ("ROU") asset.

**Note:** All new and amended MAs are reviewed as part of the MA Checklist process. Process Owners should ensure they are following the latest consultation requirements via the management or franchise license agreement checklist (as required).

#### **Additional Consultation Requirements**

All new, amended, renewed, or early terminations of lease contracts entered into by Hilton must be communicated to a member of Hilton's centralized Lease Accounting team or [HAFS.LeaseAccounting@hilton.com](mailto:HAFS.LeaseAccounting@hilton.com). For managed properties please confirm with your respective hotel owner group to determine whether they want to engage Hilton's Lease Accounting Team to perform the accounting for leased equipment at their hotel.

## **INITIAL RECOGNITION AND MEASUREMENT**

### **a. *Separating Lease and Nonlease Components and Non-components***

Regardless of whether Hilton is the lessee or the lessor, after determining whether the arrangement contains a lease, Hilton is required to identify the separate lease components within the arrangement. The right to use an underlying asset is considered to be a separate lease component if both of the following criteria are met:

- The lessee can benefit from the right-of-use either on its own or together with other resources that are readily available.
- The right-of-use is neither highly dependent on nor highly interrelated with the other right(s) to use underlying assets in the arrangement. The right to use an underlying asset is highly dependent on or highly interrelated with another right to use an underlying asset if each right of use significantly affects the other.<sup>9</sup>

However, regardless of the above determination, if a lease involves both land and a building, Hilton must identify the right to use the land as a separate lease component unless the accounting effect of doing so is insignificant.<sup>10</sup> If a lease involves an entire building, Hilton must treat the land underneath the building as a separate lease component regardless of whether the land is specifically identified in the arrangement. However, if a lease involves only a portion of a multi-story building, there would not be a lease of the land underneath the building if other tenants share access to the land.

In arrangements where Hilton is the lessee, Hilton has elected a policy to not separate lease and nonlease components. Instead, Hilton will account for each separate lease component and the nonlease components associated with the lease as a single lease component and allocate all consideration to that lease component.<sup>11</sup> This policy election does not allow lessees to account for multiple lease components within an arrangement (e.g., building and the land underneath the building) as a single lease component. An allocation of the consideration is still required in situations where there are multiple lease components within the arrangement unless the accounting effect of doing so is insignificant.

In arrangements where Hilton is the lessor, Hilton will allocate the consideration in the arrangement to the separate lease components and nonlease components in accordance with the allocation guidance in **FP-FIN-020—Revenue Recognition Accounting Policy**.<sup>12</sup> Also, in arrangements where Hilton is the lessor, the lessee may reimburse Hilton or pay a third party directly for costs such as administrative tasks to set up a contract or the reimbursement or payment of various costs incurred by the lessor (e.g., property taxes and insurance). These items are classified as non-components. Refer to the **Subsequent Measurement** section below for guidance on how to account for non-components in lessor arrangements.

<sup>9</sup> ASC 842-10-15-28, Leases, Overall, Scope and Scope Exceptions

<sup>10</sup> ASC 842-10-15-29, Leases, Overall, Scope and Scope Exceptions

<sup>11</sup> ASC 842-10-15-37, Leases, Overall, Scope and Scope Exceptions

<sup>12</sup> ASC 842-10-15-38, Leases, Overall, Scope and Scope Exceptions

**b. Lease Classification – Lessee and Lessor Arrangements**

Criteria for Classification – Finance and Sales-type Leases

Hilton will classify each separate lease component of a lease arrangement at the lease commencement date (i.e., when Hilton obtains control of the leased asset).<sup>13</sup> If any of the five criteria below are met, the lease will be classified as either a finance lease (Hilton is the lessee) or a sales-type lease (Hilton is the lessor):

- *Transfer of Ownership*: The lease transfers ownership of the underlying asset to the lessee by the end of the lease term.
- *Purchase Option*: The lease grants the lessee an option to purchase the underlying asset that the lessee is reasonably certain to exercise.
- *Lease Term*: The lease term is for a major part of the remaining economic life of the underlying asset. If the lease commencement date is at or near the end of the economic life of the underlying asset, this criterion is not used to determine classification.
- *Lease Payments*: The present value of the sum of the lease payments plus any residual value guaranteed by the lessee that is not already reflected in the lease payments equals or exceeds substantially all of the fair value of the underlying asset.
- *Specialized Nature*: The underlying asset is of such a specialized nature that it is expected to have no alternative use to the lessor at the end of the lease term.<sup>14</sup>

For a lessee arrangement, if none of the criteria above are met Hilton will account for the lease as an operating lease.<sup>15</sup> For a lessor arrangement, if none of the above criteria have been met, the lease will be classified as an operating lease unless both of the following criteria have been met, in which case Hilton will classify the lease as a direct financing lease:

- a. The present value of the sum of the lease payments plus any residual value guaranteed by the lessee that is not already reflected in the lease payments and/or any third party guarantees unrelated to the lessor equals or exceeds substantially all of the fair value of the underlying asset.
- b. It is probable the lessor will collect the lease payments plus any amount necessary to satisfy a residual value guarantee.<sup>16</sup>

Purchase Option Considerations

Hilton will evaluate whether the exercise of a purchase option is reasonably certain based on all relevant facts and circumstances.<sup>17</sup> Factors that could create an economic incentive for the lessee to exercise a purchase option might include a bargain purchase option (i.e., a fixed-price purchase option priced significantly below the expected fair value of the leased property) or contractual or economic penalties (e.g., significant cost of returning the asset in a contractually specified condition or to a contractually specified location), significant customization of the leased asset (e.g., leasehold improvements), installation costs, or relocation costs.

Lease Term Considerations

Hilton considers the lease term to be the non-cancelable period for which a lessee has the right to use an underlying asset. In addition to the non-cancelable period, the following periods are also included within the lease term:

- Periods within a lessee-controlled renewal option if the lessee is reasonably certain to exercise that option.
- Periods subsequent to a lessee-controlled termination option if the lessee is reasonably certain it will not exercise that option.
- Periods within a lessor-controlled renewal option regardless of the likelihood that the lessor will elect to exercise the renewal option.
- Periods subsequent to a lessor-controlled termination option regardless of the likelihood that the lessor will elect to exercise the termination option.<sup>18</sup>

The lease term begins when the lessor makes the underlying asset available for use by the lessee and continues through the period as determined above.<sup>19</sup> The beginning of the lease term can differ from the dates specified in the agreement and the date rent payments begin.<sup>20</sup>

### Lease Payment Considerations

At the commencement date, lease payments consist of the following payments relating to the use of the underlying asset during the lease term:

- Fixed payments, including in substance fixed payments, less any lease incentives paid or payable to Hilton.
- Variable lease payments that depend on an index or a rate (e.g., CPI, RPI or market interest rate) initially measured using the index or rate at the commencement date.
- The exercise price of an option to purchase the underlying asset if the lessee is reasonably certain to exercise that option.
- Payments for penalties for terminating the lease if the lease term reflects the lessee's exercise of an option to terminate.
- Fees paid by the lessee to the owners of a special-purpose entity for structuring the transaction.
- For a lessee only, amounts probable of being owed by the lessee under residual value guarantees.<sup>21</sup>

Careful consideration of conditions that may make fixed payments conditional on other events (e.g., performance guarantee caps) are considered as part of making this determination.<sup>22</sup>

Lease payments do **not** include any of the following:

- Variable lease payments that vary because of a change in facts and circumstances (e.g., performance, usage, etc.), other than a change in a rate or an index (e.g., CPI or a market interest rate).
  - For example, if at the commencement date rent is \$1.0 million at the current index, the \$1.0 million is included in the lease payments. If later during the lease term, the index increases by 2%, the additional \$20K of rent resulting from the indexation adjustment is considered part of the variable lease payments.
- Any guarantee by the lessee of the lessor's debt. Refer to **FP-FIN-026—Guarantees Accounting Policy** for additional details.
- Amounts allocated to nonlease components if the nonlease components are significant and accounted for separately from the lease component.<sup>23</sup>

### Discount Rate/ Incremental Borrowing Rate Considerations

For lessee arrangements, Hilton will utilize the rate implicit in the lease unless the rate cannot be readily determined. As the rate implicit in the lease uses lessor-specific inputs which Hilton generally is not privy to, Hilton typically is not able to readily determine the implicit rate in the lease. Instead, Hilton will utilize its incremental borrowing rate.<sup>24</sup> Hilton's incremental borrowing rate is determined at a centralized level. Contact a member of the TA team for assistance in determining the appropriate discount rate that should be applied.

For lessor arrangements, the rate implicit in the lease is the interest rate that causes the aggregate present value of (a) the lease payments and (b) the amount that a lessor expects to derive from the underlying asset following the lease to equal the fair value of the underlying asset and any deferred initial direct costs incurred by the lessor. If this calculation results in a rate less than zero, then a rate of zero is used.<sup>25</sup>

### Special Considerations for Subleases

Subleases are transactions where Hilton leases an asset and then leases the same asset to a third party. In some instances, the sublease is a separate lease agreement entered into by Hilton and the third party while in other cases the sublease essentially transfers Hilton's existing lease to the third party effectively relieving Hilton of any further involvement. If Hilton has been relieved of its obligations under the original lease, refer to the **Derecognition** section below to determine the appropriate accounting. Otherwise, Hilton will classify the sublease with reference to the underlying asset (e.g., the item of

<sup>13</sup> ASC 842-10-25-1, Leases, Overall, Recognition

<sup>14</sup> ASC 842-10-25-2, Leases, Overall, Recognition

<sup>15</sup> ASC 842-10-25-3a, Leases, Overall, Recognition

<sup>16</sup> ASC 842-10-25-3b, Leases, Overall, Recognition

<sup>17</sup> ASC 842-10-30-3, Leases, Overall, Initial Measurement

<sup>18</sup> ASC 842-10-30-1, Leases, Overall, Initial Measurement

<sup>19</sup> ASC 842-10-20, Leases, Glossary

<sup>20</sup> ASC 842-10-55-19 through 55-21, Leases, Overall, Implementation Guidance and Illustrations

<sup>21</sup> ASC 842-10-30-5, Leases, Overall, Initial Measurement

<sup>22</sup> ASC 842-10-55-31, Leases, Overall, Implementation Guidance and Illustrations

<sup>23</sup> ASC 842-10-30-6, Leases, Overall, Initial Measurement

<sup>24</sup> ASC 842-10-20, Leases, Overall, Glossary

property, plant or equipment that is the subject of the lease) independently of the classification of the head lease ROU asset.<sup>25</sup>

If it is not clear from the agreement as to whether Hilton has been relieved of its obligations under the original lease, Legal should be consulted.

**c. Leasehold Improvements**

In some lease arrangements, Hilton may take possession or be given the right to direct the use of the leased property in order to construct a lessee asset. In these instances, Hilton will need to determine whether it is constructing leasehold improvements or is simply leasing built-out space to determine the appropriate accounting.

Hilton will consider the following factors when making this determination:

- What happens to the improvements at the end of the lease term? Are they removed by Hilton or preserved for the lessor?
- How unique are the improvements (e.g., the unique décor and logo versus general purpose improvements)?
- Which party is supervising construction and actively involved in the design of the improvements?
- Which party bears all costs of the improvements and bears the risk of cost overruns?
- Which party legally owns the improvements?

If Hilton determines it owns the leasehold improvements, the leasehold improvements are accounted for in accordance with the **FP-FIN-001—Fixed Asset Accounting Policy**.

Special consideration is given to build-to-suit leases entered into as the arrangement could be subject to the provisions for lessee involvement in asset construction. If through the lease, Hilton can control the asset being constructed before the lease commencement date, Hilton may be deemed to be the owner of the leased asset during construction which would result in a sale-leaseback transaction upon completion.<sup>26</sup> Refer to the **Derecognition** section below for details surrounding the accounting for sale-leaseback transactions.

**d. Lessee Accounting - Initial Recognition**

Short-Term Leases

If a lease has a term of 12 months or less at the lease commencement date and does not contain a purchase option that Hilton is reasonably certain to exercise,<sup>27</sup> it will be accounted for as short-term lease. The sum of the lease payments is recognized as rent expense on a straight-line basis over the lease term and no ROU asset or lease liability is recorded. Any variable lease payments will be recognized as rent expense in the period incurred.<sup>28</sup>

If the lease term is extended so that the lease term is now greater than 12 months from the end of the previously determined lease term or Hilton is now reasonably certain to exercise a purchase option, the lease no longer qualifies as a short-term lease. When this occurs an ROU asset and lease liability must be recorded as of the date of the change. Refer to the section below for details on how to calculate an ROU asset and lease liability.<sup>29</sup>

<sup>25</sup> ASC 842-10-25-6, Leases, Overall, Recognition

<sup>26</sup> ASC 842-40-55-5, Leases, Sale and Leaseback Transactions, Implementation Guidance and Illustrations

<sup>27</sup> ASC 842-20-20, Leases, Lessee, Glossary

<sup>28</sup> ASC 842-20-25-2, Leases, Lessee, Recognition

<sup>29</sup> ASC 842-20-25-3, Leases, Lessee, Recognition



Illustration I – Short-term Lease Determination

Facts:

ABC Company (“ABC”) enters into a 3-year lease for a corporate office building having an estimated economic life of 50 years and a fair value to the lessor of \$30.0 million at the lease commencement date. The lease provides either party the option to terminate the lease annually, on the anniversary of the lease commencement date, and does not contain an option to purchase the building. At the lease commencement date, ABC believes there is only a 10% chance it will not exercise the termination option. The implicit interest rate is unknown, and ABC’s incremental borrowing rate is 4%. The lease also contains the following provisions:

- Rent of \$1.0 million per year, payable at the beginning of the year.
- Rent escalates by 2% each subsequent year.

Analysis:

The office lease qualifies to be accounted for as a short-term lease as ABC is not reasonably certain that it will not exercise its option to break the lease after the first year (12 months) and it does not contain an option to purchase the asset. As such no ROU asset or lease liability will be recognized and the fixed rent will be recognized on a straight-line basis over the lease term (i.e., the first 12 months).

Initial Recognition – Operating Lease and Finance Lease

At the lease commencement date for both operating and finance leases, Hilton will recognize both a lease liability, representing Hilton’s obligation to make lease payments arising from the lease and an ROU asset, representing Hilton’s right-to-use the underlying asset for the lease term.<sup>30</sup>

The lease liability is measured as the present value of the lease payments not yet paid, discounted using either the discount rate implicitly stated in the lease or Hilton’s incremental borrowing rate at lease commencement.<sup>31</sup> Refer to the **Lease Classification – Lessee and Lessor Arrangements** subsection above for details on how to determine which lease payments to include and the appropriate discount rate to use.

The ROU asset is measured at the amount of the initial lease liability (i.e., initially set equal to the calculated lease liability), plus by any lease payments made to the lessor at or before the commencement date and any initial direct costs incurred by Hilton minus any lease incentives received or that are probable to be received during the lease term.<sup>32</sup>

Refer to the graphic below for a depiction of how to calculate the lease liability and the parts that make up the ROU asset:

| ROU Asset                                                                 | Lease Liability                                                                |
|---------------------------------------------------------------------------|--------------------------------------------------------------------------------|
| Lease Liability                                                           |                                                                                |
| + Lease payments made before or at commencement date (e.g., prepaid rent) | Present value of lease payments not yet paid discounted based on discount rate |
| - Lease incentives received                                               |                                                                                |
| + Initial direct costs                                                    |                                                                                |

Lease Incentives

A lessor may include incentives for Hilton to sign or amend a lease such as an up-front cash payment, payment of moving expenses, reimbursement for tenant improvements, or the assumption by the lessor of a pre-existing lease.<sup>33</sup> Any lease incentive is recorded as a reduction to the ROU asset at the time it is received or when Hilton has determined it is probable the incentive will be received. Any lease incentives deemed not probable at the lease commencement date but are later determined to be probable are recorded as an adjustment to the ROU asset at that time and no cumulative catch-up to rent expense is recognized.

If the lease incentive is a reimbursement for tenant improvements for which Hilton has been determined to be the owner, Hilton will recognize leasehold improvements based on the total costs paid including any amounts paid directly from the lessor to a third party on Hilton’s behalf. Refer to **FP-FIN-001—Fixed Asset Accounting Policy** for details on accounting for leasehold improvements.

Initial Direct Costs

Initial direct costs are direct and incremental costs of a lease that would not have been incurred by Hilton if the lease had



not been obtained.<sup>34</sup> Examples include commissions for lease signing and payments made to an existing tenant to incentivize that tenant to terminate its lease. Any initial direct costs incurred will be recognized as an increase to the lease ROU asset.

The following items are examples of costs that are **not** initial direct costs:

- Costs to negotiate or arrange a lease that would have been incurred regardless of whether the lease was obtained, such as fixed employee salaries.
- General overhead costs, including for example, depreciation, occupancy and equipment costs, unsuccessful origination efforts, and idle time.
- Costs related to activities performed by the lessor for advertising, soliciting potential lessees, servicing existing leases, or other ancillary activities.
- Costs related to activities that occur before the lease is obtained, such as costs of obtaining tax or legal advice, negotiating lease terms and conditions, or evaluating a prospective lessee's financial condition.<sup>35</sup>

#### Lease Capitalization Threshold

To reduce the administrative burden of accounting for leases, Hilton will apply a \$1,000 lease liability capitalization threshold. For leases that fail to exceed this threshold, Hilton will not record a lease liability or the corresponding ROU asset regardless of whether the term is in excess of 12 months. Instead, these leases will be accounted for in the same manner as short-term leases (i.e., recognize lease payments as rent expense on a straight-line basis and variable lease payments as rent expense in the period incurred).

#### Grouping Leases into a Portfolio

For large numbers of leases for similar assets implementing the above guidance may be operationally challenging. As such, there is an option to combine leases for similar assets with similar lease terms and account for them as one lease. However, this option is only permissible if it would not materially differ from applying the guidance on an individual lease basis. All requests to apply a portfolio approach must be first approved by the TA team.

<sup>30</sup> ASC 842-20-25-1, Leases, Lessee, Recognition

<sup>31</sup> ASC 842-20-30-1, Leases, Lessee, Initial Measurement

<sup>32</sup> ASC 842-20-30-5, Leases, Lessee, Initial Measurement

<sup>33</sup> ASC 842-10-55-30, Leases, Overall, Implementation Guidance and Illustrations

<sup>34</sup> ASC 842-10-20, Leases, Overall, Glossary

<sup>35</sup> ASC 842-10-30-10, Leases, Overall, Initial Measurement

## Illustration II – Operating and Finance Leases – Initial Recognition

### Facts:

ABC Company (“ABC”) enters into a 30-year noncancelable hotel lease, with one renewal option of ten years at ABC’s sole option. The hotel has an estimated remaining economic life of 50 years and a fair value to the lessor at the inception date of \$200.0 million. The implicit interest rate is unknown and ABC’s incremental borrowing rate is 6%. The lease also contains the following provisions:

- Fixed rent of \$12.0 million per year, payable at the beginning of each year
- Annual variable rent of 30% of Adjusted Gross Operating profit (“AGOP”), payable at the end of the month
- Right by ABC to purchase the hotel at the end of the lease at the then prevailing market rate. This is not considered to be reasonably certain of being exercised at lease commencement
- At inception, the 10-year renewal option is reasonably certain of being exercised

### Analysis:

The lease is a finance lease because the lease term, inclusive of the 10-year extension, represents a major part (generally 75% or more) of the hotel’s remaining economic life. In addition, the present value (\$187.7 million) of the lease payments equals or exceeds substantially all (generally 90% or more) of the fair value of the hotel.

ABC would record a ROU asset and lease liability equal to \$187.7 million for the new hotel lease. See computations below:

|                                              |                |
|----------------------------------------------|----------------|
| <b>Lease Term:</b>                           |                |
| Noncancelable period                         | 30 years       |
| Reasonably certain lessee option to extend   | 10 years       |
|                                              | <hr/> 40 years |
| Hotel's estimated remaining economic life    | 50 years       |
| Leased %                                     | <hr/> 80%      |
| <b>Lease Payments (in millions of \$):</b>   |                |
| Total fixed annual rental payments           | \$480.0        |
| Variable rental payments (30% AGOP)          | N/A            |
| Total lease payments                         | <hr/> \$480.0  |
| <b>Present value (PV) of Lease Payments:</b> |                |
| Lease term (in years)                        | 40             |
| Discount Rate                                | 6.0%           |
| Annual fixed lease payment                   | <hr/> \$12.0   |
| PV of total lease payments                   | \$187.7        |
| FV of leased property                        | <hr/> \$200.0  |
| % of FV of leased property                   | <hr/> 94%      |

The journal entry recorded to account for this lease at commencement is as follows:

To record the finance lease\*:

|                                   | DR      | CR      |
|-----------------------------------|---------|---------|
| ROU Assets – Finance Lease        | \$187.7 |         |
| Finance Lease Liability—Current   |         | \$1.1   |
| Finance Lease Liability—Long-Term |         | \$186.6 |

\*Note, the day 1 amounts would be the same if the lease was classified as operating but the specific accounts to record the lease would differ.

### e. FF&E Reserve

Certain leases may require Hilton to maintain a reserve for the replacement of Furniture, Fixtures, and Equipment (“FF&E”). The funding of FF&E reserves varies from lease to lease but is typically based on a percentage of revenue. Generally, there are restrictions on the use of funds held in FF&E reserves limiting expenditures to the acquisition of new FF&E or similar expenditures. Accounting for FF&E reserves falls into one of three categories depending on whether Hilton holds the FF&E reserve and/or is deemed the accounting owner of the FF&E.

Refer to the following chart for details of the accounting treatment in each of three scenarios:

| FF&E Reserve Held by | FF&E Owned by | Accounting Treatment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|----------------------|---------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Hilton               | Landlord      | <ul style="list-style-type: none"> <li>Recognize FF&amp;E replacement expense and offsetting FF&amp;E liability for the amount to be funded to the FF&amp;E reserve as incurred.</li> <li>Relieve the FF&amp;E liability as cash is spent from the FF&amp;E reserve.</li> <li>Depending on the specific requirements of the lease agreement there may be a need for potential recognition of cash balances that are restricted in use. Refer to the <b>Presentation</b> section below for additional details.</li> </ul>                                               |
| Landlord             | Landlord      | <ul style="list-style-type: none"> <li>Recognize FF&amp;E replacement expense and offsetting FF&amp;E liability for the amount to be funded to the FF&amp;E reserve as incurred.</li> <li>Relieve the FF&amp;E liability once cash has been funded to the FF&amp;E reserve held by landlord.</li> </ul>                                                                                                                                                                                                                                                                |
| Hilton               | Hilton        | <ul style="list-style-type: none"> <li>No expense or liability is recognized at the time the FF&amp;E reserve funding is required. Instead, the purchased FF&amp;E is capitalized and accounted for in accordance <b>with FP-FIN-001—Fixed Asset Accounting Policy</b>. Refer to that policy for specific details.</li> <li>Depending on the specific requirements of the lease agreement there may be a need for potential recognition of cash balances that are restricted in use. Refer to the <b>Presentation</b> section below for additional details.</li> </ul> |

**f. Lessor Accounting**

Sales-Type or Direct Financing Leases

For the initial recognition of sales-type and direct financing leases, please contact a member of the TA team.

Operating Lease

If the lease does not meet the criteria for a sales-type or a direct financing lease, the lease must be classified as an operating lease. Refer to the **Lease Classification – Lessee and Lessor Arrangements** subsection above for these criteria. At lease commencement Hilton will defer any initial direct costs incurred in connection with the lease.<sup>36</sup> Refer to the **Initial Direct Costs** section above for details on what qualifies as initial direct costs.

## SUBSEQUENT MEASUREMENT

**a. Operating Leases**

After the commencement date, Hilton will accrete up the operating lease liability based on the discount rate and relieve the operating lease liability as lease payments are made. At any given point in time, the remaining operating lease liability can be calculated as the present value of the remaining lease payments discounted at the discount rate used when initially establishing the lease liability or when the liability was last modified, if applicable. Refer to the **Renewals or Modifications** subsection below for additional details. Hilton will measure the operating lease ROU asset by reference to the operating lease liability, adjusted for prepaid or accrued lease payments, the remaining balance of the lease incentives received or probable to be received during the lease term, unamortized initial direct costs and any impairments recognized.<sup>37</sup>

Rent expense is calculated as a single lease cost on a straight-line basis over the lease term unless another systematic and rational basis is more representative of the pattern in which benefit is expected to be derived from the right to use the underlying asset.<sup>38</sup> The single lease cost includes total lease payments included in the lease liability plus any initial direct costs or prepaid lease payments, reduced by deferred rent, lease incentives and any periodic lease expense recognized in prior periods.<sup>39</sup> If the operating lease ROU asset has been impaired, the rent expense amount and recognition pattern will change. Refer to the **Impairment** subsection below for details.

Straight-line basis is generally considered to be the best representative of the pattern in which benefit is derived from the underlying leased asset. This policy assumes rent expense is calculated on a straight-line basis for all lease types as any

<sup>36</sup> ASC 842-30-25-10, Leases, Lessor, Recognition

<sup>37</sup> ASC 842-20-35-3, Leases, Lessee, Subsequent Measurement

<sup>38</sup> ASC 842-20-25-6(a), Leases, Lessee, Recognition

<sup>39</sup> ASC 842-20-35-9, Leases, Lessee, Subsequent Measurement

other patterns must be approved by TA and guidance on the accounting for the alternative method would be included in the consultation.

Variable Lease Payments

Variable lease payments represent amounts not captured in the operating lease liability and are recognized as rent expense when incurred.<sup>40</sup>

Impairment

Operating lease ROU assets are assessed for impairment at least annually.<sup>41</sup> If an operating lease ROU asset is impaired, the operating lease ROU asset is reduced by the impairment amount. The remaining operating lease ROU asset balance is then amortized to the earlier of the end of the useful life of the operating lease ROU asset or the end of the lease term.<sup>42</sup> An impairment of an operating lease ROU asset will result in a change in the rent expense amount and recognition pattern. Refer to **FP-FIN-033—Impairment Accounting Policy** for details of Hilton’s impairment testing approach.

Once an operating lease ROU asset is impaired, Hilton will recognize rent expense equal to the sum of (i) the amortization of the remaining operating lease ROU asset balance on a straight-line basis, unless another pattern has been approved by TA, and (ii) the accretion on the operating lease liability.<sup>43</sup> In the event of a full impairment, rent expense will only be equal to the accretion amount on the operating lease liability.

**Illustration III – Operating Lease – Subsequent Measurement**

**Facts:**

Assume the same facts from Illustration II but the lease is classified as an operating lease.

**Analysis:**

ABC would recognize an ROU asset and lease liability equal to \$187.7 million as of the lease commencement date. Annual rent expense of \$12.0 million would be recognized in addition to variable rent expense of 30% of AGOP.

**The journal entries recorded at lease commencement and at the end of the first month of activity are as follows:**

*To initially record the operating lease\*:*

|                                     | DR      | CR      |
|-------------------------------------|---------|---------|
| ROU Asset – Operating Lease         | \$187.7 |         |
| Operating Lease Liability—Current   |         | \$1.1   |
| Operating Lease Liability—Long-Term |         | \$186.6 |

*\*Note, the day 1 amounts would be similar if the lease was classified as Finance but the accounts to record the lease would differ.*

*To record the first month of activity:*

|                                       | DR     | CR     |
|---------------------------------------|--------|--------|
| Rent Expense                          | \$1.0  |        |
| Operating Lease Liability – Long-term | \$11.2 |        |
| Operating Lease Liability - Current   |        | \$0.1  |
| ROU Asset – Operating Lease           |        | \$0.1  |
| Cash                                  |        | \$12.0 |

**b. Finance Lease**

After the commencement date, Hilton will accrete up the finance lease liability based on the discount rate used at lease commencement, or a later date for certain modifications or other events. Refer to the **Renewals or Modifications** subsection below for additional details on dates other than lease commencement. The finance lease liability will be relieved as lease payments are made.

The finance lease ROU asset will be amortized on a straight-line basis, unless another pattern has been approved by TA, from the commencement date to the earlier of the end of the useful life of the finance lease ROU asset or the end of the lease term.<sup>44</sup> If the lease transfers ownership of the underlying asset to Hilton or Hilton is reasonably certain to exercise a purchase option, the finance lease ROU asset will be amortized over the useful life of the underlying asset.<sup>45</sup> The

amortization of the finance lease ROU asset is recognized as amortization expense and the accretion of the finance lease liability is recognized as interest expense.<sup>46</sup>

Variable Lease Payments

Variable lease payments represent amounts that are not captured in the lease liability and are recognized as interest expense when incurred.<sup>47</sup>

Impairment

ROU assets are required to be assessed for impairment when events or changes in circumstances indicate there may be an impairment.<sup>48, 49</sup> However, Hilton may assess the ROU assets for impairment more frequently (e.g., quarterly). If a finance lease ROU asset is impaired, the finance lease ROU asset is reduced by the impairment amount. The remaining finance lease ROU asset is then amortized to the earlier of the end of the useful life of the finance lease ROU asset or the end of the lease term.<sup>50</sup> Refer to **FP-FIN-033—Impairment Accounting Policy** for details of Hilton's impairment testing approach.

After an impairment, Hilton will continue to recognize amortization expense on a straight-line basis at the newly calculated rate. In the event of a full impairment, no additional amortization expense will be recognized.

<sup>40</sup> ASC 842-20-25-6(b), Leases, Lessee, Implementation Guidance and Illustrations

<sup>41</sup> ASC 842-20-35-9, Leases, Lessee, Subsequent Measurement

<sup>42</sup> ASC 842-20-35-10, Leases, Lessee, Subsequent Measurement

<sup>43</sup> ASC 842-20-25-7, Leases, Lessee, Recognition

<sup>44</sup> ASC 842-20-35-7 through 35-8, Leases, Lessee, Subsequent Measurement

<sup>45</sup> ASC 842-20-35-8, Leases, Lessee, Subsequent Measurement

<sup>46</sup> ASC 842-20-35-2, Leases, Lessee, Subsequent Measurement.

<sup>47</sup> ASC 842-20-55-1, Leases, Lessee, Implementation Guidance and Illustrations

<sup>48</sup> ASC 842-20-35-9, Leases, Lessee, Subsequent Measurement

<sup>49</sup> ASC 360-10-35-21, Property, Plant and Equipment, Overall, Subsequent Measurement

<sup>50</sup> ASC 842-20-35-10, Leases, Lessee, Subsequent Measurement

### Illustration IV – Finance Lease – Subsequent Measurement

#### Facts:

Assume the same facts from Illustration II.

#### Analysis:

ABC would amortize the finance lease ROU asset on a straight-line basis over the lease term because the useful life is greater than the lease term.

|                           | Amortization (in<br>millions of \$) | ROU Asset (in millions<br>of \$) |
|---------------------------|-------------------------------------|----------------------------------|
| <i>Lease Commencement</i> |                                     | 187.7                            |
| <i>Year 1</i>             | 4.7                                 | 183.0                            |
| <i>Year 2</i>             | 4.7                                 | 178.3                            |
| <i>Year 3*</i>            | 4.7                                 | 173.6                            |
| <i>Year 39</i>            | 4.7                                 | 4.7                              |
| <i>Year 40</i>            | 4.7                                 | 0                                |

Interest expense on the finance lease liability would be calculated using a rate of 6.0%, the same discount rate used to initially measure the finance lease liability. The finance lease liability would change as follows:

|                     | Periodic Lease<br>Payment (in<br>millions of \$) | Interest<br>Expense (in<br>millions of \$) | Amortization of<br>Lease Liability (in<br>millions of \$) | Finance Lease<br>Liability – Year-end<br>(in millions of \$) |
|---------------------|--------------------------------------------------|--------------------------------------------|-----------------------------------------------------------|--------------------------------------------------------------|
| <i>Commencement</i> |                                                  |                                            |                                                           | 187.7                                                        |
| <i>Year 1</i>       | 12.0                                             | 10.8                                       | 1.2                                                       | 186.5                                                        |
| <i>Year 2</i>       | 12.0                                             | 10.7                                       | 1.3                                                       | 185.2                                                        |
| <i>Year 3*</i>      | 12.0                                             | 10.6                                       | 1.4                                                       | 183.8                                                        |
| <i>Year 39</i>      | 12.0                                             | 0.7                                        | 11.3                                                      | 12.0                                                         |
| <i>Year 40</i>      | 12.0                                             | 0                                          | 12.0                                                      | 0                                                            |

*\*These tables show an annual basis for simplicity; the schedule would be calculated monthly to reflect the frequency of the lease payments.*

**The journal entries recorded to account for this lease during the first year are as follows:**

*To record the first year's activity:*

|                            | DR     | CR     |
|----------------------------|--------|--------|
| Interest expense           | \$10.8 |        |
| Amortization Expense       | \$4.7  |        |
| Finance Lease – Long-term  | \$1.3  |        |
| Cash                       |        | \$12.0 |
| Accumulated Amortization   |        | \$4.7  |
| Finance Lease – Short-term |        | \$0.1  |



**c. Lessor Accounting**

Sales-Type or Direct Financing Leases

For the subsequent measurement of sales-type and direct financing leases, please contact the TA team.

Operating Leases

Hilton will recognize lease payments as lessor income on a straight-line basis over the lease term unless another systematic and rational basis is more representative of the pattern in which benefit is expected to be derived from the use of the underlying asset. Straight-line basis is generally considered to be the best representative of the pattern in which benefit is derived from the underlying leased asset. Any differing patterns must first be approved and documented by the TA team. Any initial direct costs are recognized as an expense over the lease term on the same basis as fixed lease payments.<sup>51</sup>

Variable lease payments will be recognized as income in the period the facts and circumstances used to calculate the variable lease payments change and the variable lease payments are considered earned.

Hilton will account for any consideration associated with non-components, including amounts paid to third parties on Hilton's behalf, on a gross basis (i.e., the amount paid by the lessee to Hilton or third parties on Hilton's behalf is recorded as income rather than a reduction of Hilton's expenses) so as long as Hilton is aware of the amount of consideration received or paid by the lessee.<sup>52</sup> Additionally, in Hilton's lessor arrangements there are various sales-based taxes that Hilton pays either on behalf of itself or the lessee. Hilton has elected a policy to exclude various sales-based taxes assessed by governmental authorities and collected by Hilton from the lessee from the consideration in a lease contract and will report these taxes on a net basis (i.e., the amount collected from the lessee for sales-based taxes is excluded from income and expenses). This policy election excludes taxes assessed on Hilton as the owner of the asset (e.g., property taxes) or on Hilton's total gross receipts.<sup>53</sup>

**d. Renewals or Modifications**

If an existing lease is modified to change the term, scope or consideration of the contract, Hilton must reassess the modified arrangement to determine whether it still meets the definition of a lease.<sup>54</sup> Refer to the **Scope** section above for details on how to determine whether the arrangement is still a lease.

If the modified contract is determined to still be a lease, Hilton will assess whether to account for the lease modification as a separate contract. The modification is accounted for as a separate contract, when both the following conditions have been met:

- a. The modification grants Hilton an additional right of use not included in the original lease (e.g., the right to use an additional floor in an office building that was not included in the original lease). Extending the term of the current lease is not considered to be an additional right of use.
- b. The lease payments increase commensurate with the standalone price for the additional right of use, adjusted for the circumstances of the particular contract.<sup>55</sup>

If both of these conditions have been met, the lease modification results in two separate contracts: the unmodified original contract and a separate new contract. The original contract will continue its current accounting. The new contract is evaluated as any other new lease arrangement. Refer to the above sections for guidance on how to classify and account for the new contract.

If the lease modification is not accounted for as a separate contract, Hilton will reassess the classification of the lease as of the effective date of the modification based on the modified terms and current facts and circumstances (e.g., the fair value and remaining economic life of the underlying asset as of that date).<sup>56</sup> Any initial direct costs, lease incentives, and other payments made to or by Hilton in connection with the modification are accounted for in the same manner as they would be with any other new lease.<sup>57</sup> The remaining consideration of the modified contract is reallocated between the identified lease and nonlease components.

When Hilton is the lessee, the lease liability is remeasured using a discount rate determined as of the modification date if the contract modification results in any of the following:

- a. An additional right of use not included in the original contract (e.g., additional floors)
- b. A change in the term of an existing lease other than through the exercise of a contractual option to extend or terminate the lease
- c. Termination of an existing lease, either fully or partially (e.g., reduces the space subject to the lease).

- d. A change to the consideration in the lease with no other changes to the lease (e.g., a decrease in rent without changing the space subject to the lease).<sup>58</sup>

For (a), (b), or (d), Hilton will recognize the change in the lease liability due to the remeasurement as an adjustment to the corresponding ROU asset.<sup>59</sup> If the adjustment to the ROU asset would cause it to be negative, the asset is reduced to zero with the difference recognized in earnings.<sup>60</sup> For (c), Hilton will decrease the carrying amount of the ROU asset proportionally to the full or partial termination of the lease liability. Any difference between the reduction in the lease liability and the reduction in the ROU asset is recognized as a gain or a loss at the effective date of the lease modification.<sup>61</sup>

If the original lease was classified as a finance lease and the modified lease is now classified as an operating lease, any difference between the carrying amount of the ROU asset, after recording the adjustment required by (a), (b), (c), or (d), and what the ROU asset would be if it was calculated as a new operating lease that commences on the date of the lease modification is accounted for as either a rent prepayment or lease incentive.<sup>62</sup> Refer to the **Initial Recognition and Measurement** section above for guidance on how to determine the lease classification and calculate the modified lease liability and ROU asset.

See **Appendix I** for a summary of the reassessment and remeasurement requirements for lessees.

**e. Remeasurement of Lease Liability – Not due to Contract Modification or Renewal**

A lessee will remeasure lease payments and, as a result, the lease liability when any of the following events occur:

- A contingency where some or all of the variable lease payments to be paid over the remainder of the lease term are based on is resolved so the variable lease payments now meet the definition of fixed lease payments. However, a change in indexation or a rate upon which some or all of the variable lease payments in the contract are based is not a resolution of a contingency.<sup>63</sup>
- There is a change in any of the following:
  - i. The likelihood of exercising an extension or early termination option.<sup>64</sup>
  - ii. The likelihood of exercising an option to purchase the underlying asset.
  - iii. Amounts probable of being owed under a residual value guarantee.<sup>65</sup>

In the event of any of the above, the lease liability is remeasured using the appropriate discount rate. If the lease payments are remeasured due to a change in the lease term or assessment to exercise or not exercise an option to purchase the underlying asset, the discount rate determined as of the modification date is used when remeasuring the lease liability.<sup>66</sup>

See **Appendix I** for a summary of the reassessment and remeasurement requirements for lessees.

**f. Variable Payments Dependent on Index or Rate**

If a contract is modified and not accounted for as a separate contract or remeasurement of the lease payments is required, a variable lease payment dependent on an index or rate will be measured using the index or rate as of the date of the remeasurement.<sup>67</sup> For example, indexation previously accounted for as variable rent, as the amount was unknown at lease commencement, would now be included as part of the lease payments used to calculate the new lease liability.

<sup>51</sup> ASC 842-30-25-11, Leases, Lessor, Recognition

<sup>52</sup> ASC 842-10-15-40A, Leases, Overall, Scope and Scope Exceptions

<sup>53</sup> ASC 842-10-15-39A, Leases, Overall, Scope and Scope Exceptions

<sup>54</sup> ASC 842-10-15-6, Leases, Overall, Scope and Scope Exceptions

<sup>55</sup> ASC 842-10-25-8, Leases, Overall, Recognition

<sup>56</sup> ASC 842-10-25-9, Leases, Overall, Recognition

<sup>57</sup> ASC 842-10-25-10, Leases, Overall, Recognition

<sup>58</sup> ASC 842-10-25-11, Leases, Overall, Recognition

<sup>59</sup> ASC 842-10-25-12, Leases, Overall, Recognition

<sup>60</sup> ASC 842-20-35-4, Leases, Lessee, Subsequent Measurement

<sup>61</sup> ASC 842-10-25-13, Leases, Overall, Recognition

<sup>62</sup> ASC 842-10-25-14, Leases, Overall, Recognition

<sup>63</sup> ASC 842-10-35-4, Leases, Overall, Subsequent Measurement

<sup>64</sup> ASC 842-10-35-1, Leases, Overall, Subsequent Measurement

<sup>65</sup> ASC 842-10-35-4, Leases, Overall, Subsequent Measurement

<sup>66</sup> ASC 842-10-35-5, Leases, Overall, Subsequent Measurement

<sup>67</sup> ASC 842-10-35-4, Leases, Overall, Subsequent Measurement

DERECOGNITION

a. Lease Termination

A termination of an operating or finance lease before the expiration of the lease term is accounted for by derecognizing the ROU asset and lease liability, with a gain or loss recognized for the difference.<sup>68</sup> Any consideration paid or received upon termination that was not already included in the lease payments are included as part of the gain or loss determination.

Illustration V – Finance Lease – Termination

Facts:

Assume ABC Company (“ABC”) enters into a lease with the same provisions as Illustration II. After the 20<sup>th</sup> year of the lease term the ROU asset has a net carrying amount of \$93.9 million and the lease liability is \$144.2 million. ABC negotiates with the landlord to terminate the lease at the end of the 20<sup>th</sup> year. No termination payment was required.

Analysis

At the end of the 20<sup>th</sup> year, ABC derecognizes the ROU asset of \$93.9 million and the lease liability of \$144.2 million. The difference between the lease asset and lease liability is recorded as a gain of \$50.3 million.

The journal entry to record the lease termination is the following:

|                                          | DR      | CR     |
|------------------------------------------|---------|--------|
| Lease Liability – Finance Lease          | \$144.2 |        |
| ROU Asset – Finance Lease                |         | \$93.9 |
| Other Gain (Loss) on Debt Extinguishment |         | \$50.3 |

Exercise of a Purchase Option

The exercise of a purchase option will not result in the recognition of a gain or loss. Rather, any difference between the purchase price of the asset and the carrying amount of the lease liability immediately before the purchase is recorded by Hilton as an adjustment to the carrying amount of the ROU asset.<sup>69</sup>

Special Considerations for Subleases

If Hilton has transferred its obligations under a sublease, relieving Hilton of the primary obligation under the lease, the sublease is accounted for as a termination of the original lease. Any consideration paid or received upon termination that has not already been included in the lease payments (e.g., a termination payment) is included in the calculation of the gain or loss to be recognized.<sup>70</sup> However, if under the sublease, Hilton is secondarily liable through a guarantee, Hilton will consider the need to record a guarantee liability. Refer to **FP-FIN-026—Guarantees Accounting Policy**. Consultation with Legal may be required in making the determination of whether Hilton has been relieved of its obligations under the original lease.

b. Sale-Leaseback

A sale-leaseback transaction involves the sale of an asset and the entering into a lease of the same asset by the seller (the leaseback).<sup>71</sup> Consult with a member of the TA team to determine whether Hilton can apply sale-leaseback accounting to a transaction and how to account for the transaction.

PRESENTATION

a. Operating Lease

Lease payments are included in Hilton’s net income and classified as cash outflows used in operating activities on the Consolidated Statement of Cash Flows.<sup>72</sup>

The lease liability is classified as current to the extent the balance will be relieved within the next 12 months, with the

<sup>68</sup> ASC 842-20-40-1, Leases, Lessee, Derecognition  
<sup>69</sup> ASC 842-20-40-2, Leases, Lessee, Derecognition  
<sup>70</sup> ASC 842-20-40-3, Leases, Lessee, Derecognition  
<sup>71</sup> ASC 842-40-15-2, Leases, Sale-Leaseback Transactions, Scope and Scope Exceptions  
<sup>72</sup> ASC 842-20-45-5c, Leases, Lessee, Other Presentation Matters

remaining balance classified as non-current. The ROU asset is classified as non-current.<sup>73</sup>

**b. Finance Lease**

Lease payments are allocated between the reduction of the lease liability and interest expense.<sup>74</sup> The portion of the payment representing interest is captured as part of Hilton's net income and is classified as cash outflows used in operating activities on the Consolidated Statement of Cash Flows. The portion of the payment representing principal repayments represents a repayment of debt and is classified as cash outflows used in financing activities on the Consolidated Statement of Cash Flows.<sup>75</sup>

The lease liability is classified as current to the extent the balance will be relieved within the next 12 months, with the remaining balance classified as non-current. The ROU asset is classified as non-current.<sup>76</sup>

**c. FF&E Reserves**

Certain of Hilton's hotel leases require the FF&E reserve to be held in a separate bank account with restrictions on the use of the funds to acquisitions of new FF&E or similar expenditures specifically for that hotel. Due to the restrictions on the use of the funds, Hilton classifies the cash held within this type of FF&E reserve as restricted cash. Refer to **FP-FIN-008—Cash and Cash Equivalents Accounting Policy** for additional details on restricted cash accounts.

<sup>73</sup> ASC 842-20-45-1, Leases, Lessee, Other Presentation Matters

<sup>74</sup> ASC 842-20-35-1, Leases, Lessee, Subsequent Measurement

<sup>75</sup> ASC 842-20-45-5, Leases, Lessee, Other Presentation Matters

<sup>76</sup> ASC 842-20-45-1, Leases, Lessee, Other Presentation Matters

## FINANCIAL STATEMENT LINE ITEMS AFFECTED

**Note:** The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

| <u>Transaction</u>                                           | <u>Affected</u>                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                              |                                                                                                                                                 |
|--------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                              | Balance Sheet Line Item                                                                                                                                                                                                                                                   | Income Statement Line Item                                                                                                                                                                                                                                   | Cash Flow Statement Section                                                                                                                     |
| <b>Finance Leases</b>                                        |                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                              |                                                                                                                                                 |
| Initial recognition of a finance lease                       | <ul style="list-style-type: none"> <li>- Property and equipment, net (debit)</li> <li>- Current maturities of long-term debt (credit) and/or</li> <li>- Long-term Debt (credit)</li> </ul>                                                                                | - N/A                                                                                                                                                                                                                                                        | - N/A                                                                                                                                           |
| Amortization of and payments for the finance lease liability | <ul style="list-style-type: none"> <li>- Current maturities of long-term debt (debit/credit)</li> <li>- Long-term debt (debit/credit)</li> <li>- Cash and cash equivalents (credit)</li> </ul>                                                                            | - Interest expense (debit)                                                                                                                                                                                                                                   | <ul style="list-style-type: none"> <li>- Operating Activities (interest portion)</li> <li>- Financing Activities (principal portion)</li> </ul> |
| Recognition of variable rent                                 | <ul style="list-style-type: none"> <li>- Cash and cash equivalents (credit) or</li> <li>- Accounts payable, accrued expenses and other</li> </ul>                                                                                                                         | - Interest expense (debit)                                                                                                                                                                                                                                   | - Operating Activities                                                                                                                          |
| Amortization of the ROU asset                                | <ul style="list-style-type: none"> <li>- Property and equipment, net (credit)</li> </ul>                                                                                                                                                                                  | <ul style="list-style-type: none"> <li>- Depreciation and amortization (debit) or</li> <li>- Other expenses from managed or franchised properties*</li> </ul> <p><i>*Funded finance lease amortization is recognized as part of the gross-up expense</i></p> | - Operating Activities                                                                                                                          |
| Impairment of the finance lease ROU asset                    | <ul style="list-style-type: none"> <li>- Property and equipment, net (credit)</li> </ul>                                                                                                                                                                                  | - Impairment loss (debit)                                                                                                                                                                                                                                    | - Operating Activities                                                                                                                          |
| Termination of finance lease                                 | <ul style="list-style-type: none"> <li>- Property and equipment, net (credit)</li> <li>- Current maturities of long-term debt (debit) and/or</li> <li>- Long-term Debt (debit)</li> </ul>                                                                                 | - Gain/ (Loss) on Debt Extinguishment (debit or credit)                                                                                                                                                                                                      | - Operating Activities                                                                                                                          |
| <b>Operating Leases</b>                                      |                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                              |                                                                                                                                                 |
| Initial recognition of an operating lease                    | <ul style="list-style-type: none"> <li>- Operating lease right-of-use assets (non-current asset) (debit)</li> <li>- Accounts payable, accrued expenses and other (current portion) (credit) and/or</li> <li>- Operating lease liabilities (long-term) (credit)</li> </ul> | - N/A                                                                                                                                                                                                                                                        | - N/A                                                                                                                                           |
| Accretion of operating lease liability                       | <ul style="list-style-type: none"> <li>- Operating lease right-of-use assets (non-current asset) (debit)</li> <li>- Accounts payable, accrued expenses and other (current portion) (credit) and/or</li> <li>- Operating lease liabilities (long-term) (credit)</li> </ul> | - N/A                                                                                                                                                                                                                                                        | - N/A                                                                                                                                           |

|                                                                                                        |                                                                                                                                                                                                                                                                          |                                                                                                                            |                        |
|--------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|------------------------|
| Payments for the operating lease liability                                                             | <ul style="list-style-type: none"> <li>- Accounts payable, accrued expenses and other (current portion) (debit) and/or</li> <li>- Operating lease liabilities (long-term) (debit)</li> <li>- Cash and cash equivalents (credit)</li> </ul>                               | - N/A                                                                                                                      | - Operating Activities |
| Recognition of fixed rent expense                                                                      | <ul style="list-style-type: none"> <li>- Operating lease right-of-use assets (non-current asset) (credit)</li> </ul>                                                                                                                                                     | - Various expense line items (debit)                                                                                       | - Operating Activities |
| Recognition of variable rent                                                                           | <ul style="list-style-type: none"> <li>- Cash and cash equivalents (credit) or</li> <li>- Accounts payable, accrued expenses and other (credit)</li> </ul>                                                                                                               | - Various expense line items (debit)                                                                                       | - Operating Activities |
| Impairment of the operating lease ROU asset                                                            | <ul style="list-style-type: none"> <li>- Operating lease right-of-use assets (non-current asset) (credit)</li> </ul>                                                                                                                                                     | - Impairment loss (debit)                                                                                                  | - Operating Activities |
| Termination of an operating lease                                                                      | <ul style="list-style-type: none"> <li>- Operating lease right-of-use assets (non-current asset) (credit)</li> <li>- Accounts payable, accrued expenses and other (current portion) (debit) and/or</li> <li>- Operating lease liabilities (Long-term) (debit)</li> </ul> | - Other non-operating income/loss, net (debit or credit)                                                                   | - Operating Activities |
| <b>FF&amp;E Reserve</b>                                                                                |                                                                                                                                                                                                                                                                          |                                                                                                                            |                        |
| Contribution to the FF&E reserve – <i>Hilton holds FF&amp;E reserve, but landlord owns assets</i>      | <ul style="list-style-type: none"> <li>- FF&amp;E Liability (credit)</li> <li>If required to hold FF&amp;E reserve in a bank account:</li> <li>- Restricted cash and cash equivalents (debit)</li> <li>- Cash and cash equivalents (credit)</li> </ul>                   | - FF&E Replacement Expense (Debit)                                                                                         | - Operating Activities |
| Contribution to the FF&E reserve – <i>Hilton holds FF&amp;E reserve and owns assets</i>                | <ul style="list-style-type: none"> <li>- If required to hold FF&amp;E Reserve in a bank account:</li> <li>- Restricted cash and cash equivalents (debit)</li> <li>- Cash and cash equivalents (credit)</li> </ul>                                                        | - N/A                                                                                                                      | - N/A                  |
| Contribution to the FF&E reserve – <i>Landlord holds FF&amp;E and owns assets</i>                      | <ul style="list-style-type: none"> <li>- Cash and cash equivalents (credit) or</li> <li>- FF&amp;E Liability (credit)</li> </ul>                                                                                                                                         | - FF&E Replacement Expense (Debit)                                                                                         | - Operating Activities |
| Use of Reserve funds to purchase FF&E – <i>Hilton holds FF&amp;E reserve, but landlord owns assets</i> | <ul style="list-style-type: none"> <li>- Cash and cash equivalents (credit) or</li> <li>- Restricted cash and cash equivalents (credit)</li> <li>- FF&amp;E Liability (debit)</li> </ul>                                                                                 | - N/A (already expensed previously)                                                                                        | - Operating Activities |
| Use of Reserve funds to purchase FF&E – <i>Hilton holds FF&amp;E reserve and owns assets</i>           | <ul style="list-style-type: none"> <li>- Fixed Assets/ Leasehold Improvements (debit)</li> <li>- Cash and cash equivalents (credit) or</li> <li>- Restricted cash and cash equivalents (credit)</li> </ul>                                                               | - N/A                                                                                                                      | - Investing Activities |
| <b>Lessor Arrangements</b>                                                                             |                                                                                                                                                                                                                                                                          |                                                                                                                            |                        |
| Recognition of rental revenue from sublease/lessor arrangements                                        | <ul style="list-style-type: none"> <li>- Cash and cash equivalents (debit) or</li> <li>- Accounts receivable, net of allowance for doubtful accounts (debit)</li> </ul>                                                                                                  | <ul style="list-style-type: none"> <li>- Owned and leased hotels (credit) or</li> <li>- Other revenues (credit)</li> </ul> | - Operating Activities |

## RELATED DOCUMENTS, TOOLS, AND TEMPLATES

### POLICIES & PROCEDURES

[FP-FIN-001—Fixed Asset Accounting Policy](#)

[FP-FIN-008—Cash and Cash Equivalents and Restricted Cash Accounting Policy](#)

[FP-FIN-020—Revenue Recognition Accounting Policy](#)

[FP-FIN-025—Asset Retirement Obligations Accounting Policy](#)

[FP-FIN-026—Guarantees Accounting Policy](#)

[FP-FIN-033—Impairment Accounting Policy](#)

| TERM/ ACRONYM                                      | DEFINITION                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|----------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| At or Near End of the Economic Life                | Generally considered to be a commencement date that falls within the last 25% of the total economic life of the underlying asset.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Commencement Date of the Lease (Commencement Date) | The date on which a lessor makes an underlying asset available for use by a lessee.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| Contract (Arrangement)                             | An agreement between two or more parties that creates enforceable rights and obligations.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Discount Rate for the Lease                        | For a lessee, the discount rate for the lease is the rate implicit in the lease unless that rate cannot be readily determined. In that case, the lessee is required to use its incremental borrowing rate.<br><br>For a lessor, the discount rate for the lease is the rate implicit in the lease.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Effective Date of the Modification                 | The date that a lease modification is approved by both the lessee and lessor.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| Finance Lease                                      | From the perspective of a lessee, a lease that meets one or more of the following: <ul style="list-style-type: none"> <li>a. <u>Transfer of ownership</u>. The lease transfers ownership of the underlying asset to the lessee by the end of the lease term.</li> <li>b. <u>Purchase option</u>. The lease grants the lessee an option to purchase the underlying asset that the lessee is reasonably certain to exercise.</li> <li>c. <u>Lease term</u>. The lease term is for a major part (at least 75 percent) of the remaining economic life of the underlying asset. If the lease commencement is within the last 25 percent of the asset's useful life, this criterion is not used to determine classification.</li> <li>d. <u>Lease payments</u>. The present value of the sum of the lease payments plus any residual value guaranteed by the lessee that is not already reflected in the lease payments equals or exceeds substantially all (90 percent or greater) of the fair value of the underlying asset.</li> <li>e. <u>Specialized nature</u>. The underlying asset is of such a specialized nature that it is expected to have no alternative use to the lessor at the end of the lease term.</li> </ul> |
| Incremental Borrowing Rate                         | The rate of interest a lessee would have to pay to borrow, on a collateralized basis, over a similar term and in a similar economic environment, an amount equal to the lease payments.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Lease                                              | A contract, or part of a contract, which conveys the right to control the use an identified asset for a period of time in exchange for consideration.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Lease Liability                                    | A lessee's obligation to make the lease payments arising from a lease, measured on a discounted basis.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Lease Modification                                 | A change to the terms and conditions of a contract that results in a change in the scope of or the consideration for a lease.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |



|                                           |                                                                                                                                                                                                                  |
|-------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Lessee                                    | An entity that enters into a contract to obtain the right to use an underlying asset for a period of time.                                                                                                       |
| Lessor                                    | An entity that enters into a contract to provide the right to use an underlying asset for a period of time.                                                                                                      |
| Major Part of the Remaining Economic Life | Generally considered to be 75% or more of the remaining economic life of the underlying asset.                                                                                                                   |
| Non-component                             | Activities or items that do not transfer a distinct good or service to the lessee, including administrative tasks to set up a contract and the reimbursement or payment of various costs incurred by the lessor. |
| Operating Lease                           | From the perspective of the lessee, any lease other than a finance lease.                                                                                                                                        |
| Reasonably Certain                        | Generally considered to be at least 90% certain that an option will be exercised.                                                                                                                                |
| Right-of-Use ("ROU") Asset                | An asset that represents a lessee's right to use an underlying asset for the lease term.                                                                                                                         |
| Short-Term Lease                          | A lease that, at the commencement date, has a lease term of 12 months or less and does not include an option to purchase the underlying asset that the lessee is reasonably certain to exercise.                 |
| Substantially All of the Fair Value       | Generally considered to be 90% or more of the fair value of the underlying asset.                                                                                                                                |
| Variable Lease Payments                   | Payments made by a lessee to a lessor for the right to use an underlying asset that vary because of changes in facts or circumstances, other than the passage of time, occurring after the commencement date.    |

ROLES AND RESPONSIBILITIES

| ENTITY/PERSONNEL                                                                     | RESPONSIBILITIES                                                                                                                                                                       |
|--------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="mailto:Technical_Accounting@hilton.com">Technical_Accounting@hilton.com</a> | The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email. |

## APPENDIX

### Appendix I: Remeasurement of Lease Liabilities and ROU Assets

The following chart provides an overview of the reassessment and remeasurement requirements applicable to lessees.

|                                                                                                                                                                                                                       | In remeasuring the ROU asset/lease liability, reassess the following:       |                      |                                      |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|----------------------|--------------------------------------|
| <b>Remeasurement of the lease liability and the ROU asset occurs when:</b>                                                                                                                                            | <b>Measurement/ allocation of consideration, lease payments<sup>1</sup></b> | <b>Discount rate</b> | <b>Lease term and classification</b> |
| A modification occurs that is not accounted for as a separate contract, and the modified contract is or contains a lease                                                                                              | ✓                                                                           | ✓                    | ✓                                    |
| A change in lease term results from a triggering event (e.g., a significant event or a significant change in circumstances within the lessee's control, contractual event, option exercised, or option not exercised) | ✓                                                                           | ✓ <sup>2</sup>       | ✓                                    |
| The lessee changes its assessment of whether it is reasonably certain to exercise an option to purchase the underlying asset resulting from a triggering event                                                        | ✓                                                                           | ✓ <sup>2</sup>       | ✓                                    |
| A contingency is resolved that results in variable lease payments meeting the definition of lease payments                                                                                                            | ✓                                                                           |                      |                                      |
| The lessee changes its assessment of amount owed under a residual value guarantee                                                                                                                                     | ✓                                                                           |                      |                                      |

<sup>1</sup> Includes updating variable lease payments that depend on an index or rate as of the remeasurement date using the remeasurement date index or rate.

<sup>2</sup> If the discount rate for the lease liability does not already reflect the lessee's option in the lease to extend or terminate the lease or to purchase the underlying asset.